

asures at that point will be ending the *same* highest degree wave for the first time since 1929. From there, both measures will enjoy a Supercycle degree advance that will be labeled wave (B) in the actual Dow and wave (D) or (X) in the inflation-adjusted measure. (The technical difference among the three labels will pertain only to the final resolution of the inflation-adjusted pattern many decades from today.)

A Milder Scenario

There is only one way to extract from the Wave Principle the possibility that the upcoming bear market will be of smaller than Grand Supercycle degree. It involves the idea that the last 63 years of rise are not a complete fifth wave, *but only the first wave of a developing Supercycle extension*. This interpretation is possible because almost every impulse contains an extension, and the Grand Supercycle to date lacks a clearly extended wave.

The triangle wave (IV) and the completed wave (V) shown in Figure 3-3 for the inflation-adjusted Dow disallow a fifth wave extension and at first appear to make such a scenario impossible. However, the *entire advance* in that measure might have been an extension, leaving waves (II) through (V) yet to occur. Figure 5-6 shows how this less negative outcome would unfold in these two Dow indexes. Under this scenario, the low of wave II in the actual Dow and wave (II) in the inflation-adjusted Dow would lead immediately to many decades of advance more spectacular than those of 1932-1995.

Notice that under all scenarios outlined so far, the decline that is currently imminent must be at least of Supercycle degree, which is substantial enough to justify arranging one's affairs in anticipation of a severe price collapse. By either scenario, the imminent decline will almost assuredly be a *sharp* correction, because in the preferred scenario it will be an "A" wave, and in the milder case it will be a second wave, each of which is typically a zigzag. At the same time, the inflation-adjusted Dow requires a relentless five waves down for wave C to complete its flat pattern from 1966 (see Figure 5-6).

This wave interpretation shown in Figure 5-6 will increase in probability if over the next decade the Dow falls *below 1060, but not below 572*, which by this labeling is the zone of support provided by the previous fourth wave of one lesser degree. If a zigzag ends in that range (the 1982 low of Dow 777 would provide a focal point of support), then we will have to let the technical and fundamental